P 1 8

Pre-Leaving Certificate Examination, 2025

ACCOUNTING – HIGHER LEVEL

(400 marks)

TIME: 3 HOURS

This paper is divided into 3 Sections:

Section 1: Financial Accounting (120 marks).
This section has four questions (Numbers 1 – 4). The first question **(A or B)** carries 120 marks and the remaining three questions carry 60 marks each. Candidates should answer either **QUESTION 1 (A or B) only** OR answer any **TWO** of the remaining three questions in this section.

Section 2: Financial Accounting (200 marks).
This section has three questions (Numbers 5 – 7). Each question carries 100 marks. Candidates should answer **TWO** of these questions.

Section 3: Management Accounting (80 marks).
This section has two questions (Numbers 8 and 9). Each question carries 80 marks. Candidates should answer **ONE** of these questions.

Calculators
Calculators may be used in answering the questions on this paper. It is very important that workings are shown in the answer book(s) so that full credit can be given for correct work.

SECTION 1 (120 marks)

Answer **Question 1(A)** OR **1(B)** OR any **TWO** other questions

1. Answer (A) OR (B)

(A) Company Final Accounts

Martin Ltd has an authorised capital of €1,750,000 divided into 1,000,000 ordinary shares of €1 each and 750,000 3% preference shares of €1 each. The following trial balance was extracted from its books on 31/12/2024.

	€	€
Land and buildings at cost	875,000	
Accumulated depreciation on buildings		60,000
Delivery vans (cost €185,000)	95,000	
4% Investments 01/06/2024	240,000	
Advertising	24,000	
Audit fees	18,600	
Purchases and sales	385,000	645,500
4% Debenture (including 75,000 issued on 01/03/2024)		225,000
Capital reserve		35,000
Dividends paid	26,000	
Ordinary share capital		795,000
6% Preference share capital		60,000
Stock 01/01/2024	35,000	
Bank		31,000
Profit and loss balance 01/01/2024		52,600
Debtors and creditors	42,000	27,000
VAT		2,900
Debenture interest paid for first 6 months	2,500	
Patents (incorporating 4 months investment income)	75,250	
Salaries and general expenses (including suspense)	120,250	
Bad debt provision		3,200
Discount (net)		1,400
	1,938,600	**1,938,600**

The following information and instructions are to be taken into account:

(i) Stock on hand at 31/12/2024 at cost was €25,500. This figure includes stock originally purchased for €3,450 but now has a net realisable value of 70% of its original cost.

(ii) The suspense figure arises as a result of an incorrect figure for debenture interest (although the correct figure was entered in the bank account) and credit purchases of €2,750 entered on the incorrect side of the creditor's account.

(iii) Towards the end of December 2024, goods with a retail value of €9,200 were received from a **supplier**. The goods were sent by the supplier on a 'Sale or Return' basis and had a mark-up on cost of 15%. These goods had been treated as a credit purchase in the accounts of Martin Ltd.

(iv) During the year, stock which cost €2,500 was destroyed by fire. The insurance company have agreed to pay compensation of €1,750.

(v) Provide for depreciation on delivery vans at a rate of 15% of cost per annum from the date of purchase to the date of sale.

NOTE: On 30/04/2024 a delivery van which had cost €40,000 on 30/06/2021 was traded in against a new van which had cost €55,000. An allowance of €14,250 was made on the old van. The bank transfer for the net amount of this transaction was entered in the Bank account but was incorrectly treated as a purchase of trading stock. These were the only entries made in the books in respect of this transaction.

(vi) The land and buildings figure includes land at original cost of €185,000. Buildings are to be depreciated at the rate of 2% of cost per annum. At the end of 2024, the company decided to revalue land and buildings at €975,000. The land element of this new value is €275,000. This revaluation has yet to be reflected in the accounts.

(vii) Patents, which incorporates 4 months' investment income, are to be written off over 6 years starting 2024.

(viii) The bank figure in the trial balance has been taken from the firm's bank account. However, a bank statement dated 31/12/2024 has arrived showing an overdraft of €30,970. A comparison of the bank account and the bank statement revealed the following discrepancies:

1. A payment from a liquidator was received directly into the Bank. This represents a first and final payment of 30c in the euro in respect of a debt of €9,000.
2. A cheque for €570 paid to a supplier had been entered in the books (cash book and ledger) as €750.
3. Martin Ltd had made lodgements of €4,900, but these were not yet credited by the bank.
4. Investment income of €850 had been paid directly to the firm's bank account.
5. A cheque for €1,200 issued to a creditor had not yet been presented for payment.

(ix) The advertising payment is a payment for a 15-month campaign which started on 01/09/2024.

(x) Provision should be made for the following:

1. Provision to be made for investment income and debenture interest due.
2. Provision for bad debts to be adjusted to 6% of debtors
3. The managing director should be paid a bonus commission of 3% on all sales in excess of €450,000.

Required:

(a) Prepare a trading and profit and loss account for the year ended 31/12/2024. (70)

(b) Prepare a balance sheet as at 31/12/2024. (50)

(120 marks)

(B) Sole Trader – Final Accounts

The trial balance shown below was extracted from the books of Sean Barrett on 31/12/2024.

	€	€
Premises (cost €480,000)	395,000	
Delivery vans (cost €120,000)	59,000	
Purchases and sales	375,000	572,000
Rent		12,000
Commission	7,450	
Capital		302,000
Drawings	25,500	
7% Investment (01/08/2024)	120,000	
Mortgage interest (paid for the first three months)	4,500	
Suspense		1,350
PAYE. PRSI and USC		8,500
Bank		34,600
Office equipment (cost €15,000)	7,000	
Insurance	16,250	
Discount	1,200	
Debtors and creditors	64,000	43,500
6% Fixed mortgage (including €50,000 received on 01/10/2024)		280,000
VAT	3,750	
Salaries and general expenses	82,500	
Patents (including 4 months' investment income)	67,800	
Provision for bad debts		3,500
Stock 01/01/2024	28,500	
	1,257,450	**1,257,450**

The following information and instructions are to be taken into account:

(i) Stock at 31/12/2024 at cost was €52,000. Included in this figure are goods purchased on a 'sale or return' basis. These goods have been recorded as a credit purchase with a recommended retail price of €4,500, which is cost plus 20%.

(ii) Provide for depreciation on delivery vans at an annual rate of 12% of cost from date of purchase to date of sale.

NOTE: On 30/04/2024 a delivery van, which had cost €30,000 on 30/02/2020, was traded in against a new van which cost €35,000. An allowance of €7,000 was made on the old van. The bank transfer for the net amount of this transaction was incorrectly treated as a purchase of trading stock. This was the only entry made in the books in respect of this transaction.

(iii) The suspense figure arises as a result of the posting of an incorrect figure for mortgage interest in the mortgage interest account (although the correct figure for mortgage interest had been entered in the bank account) and discount allowed of €300 was entered only in the discount account.

(iv) Patents, which incorporate 4 months investment income received, are to be written off over a 5 year period commencing in 2024.

(v) A new warehouse was purchased on 01/01/2024 for €70,000, including VAT of 12%. The total amount paid to the vendor was entered in the buildings account. No entry was made in the VAT account.

(vi) Provide for depreciation on buildings at a rate of 3% of cost per annum. It was decided to re-value the buildings at €550,000 on 31/12/2024.

(vii) Provision to be made for mortgage interest due and investment income due at 31/12/2024.

(viii) Goods taken by Barrett for his own use during the year were omitted from the books. These goods had a retail value of €6,000, which is cost plus 20%.

(ix) No record has been made in the bookds for 'goods in transit' on 31/12/2024. The invoice for these goods had been received showing the recommended retail selling price of €7,000, which is cost plus 25%.

(x) During the year, stock which had cost €5,000 was destroyed by fire. The insurance company has agreed to pay compensation of €4,250.

(xi) A supplier who was owed €4,250 accepted office equipment with a book value of €3,500 in full settlement of the debt. The office equipment had cost €5,000. No entry was made in the books in respect of this transaction. Provide for depreciation on office equipment held on 31/12/2024 at the rate of 20% of cost.

Required:

(a) Prepare a trading and profit and loss account for the year ended 31/12/2024. (70)

(b) Prepare a balance sheet at at 31/12/2024. (50)

(120 marks)

2. Debtors Control Account

The debtors ledger control account of Thomas O'Shea showed the following balances: €26,870dr and €410cr on 31/12/2024. These figures did not agree with the schedule (list) of debtors' balances extracted on the same date. An examination of the books revealed the following:

(i) A credit note for €280 was sent to J. Jones, a customer, and entered in the books. However, the bookkeeper forgot to deduct a restocking charge of 10%. When the error was discovered, the bookkeeper immediately sent another credit note for €240 and debited this to Jones's account.

(ii) Cash Sales of €560 had been recorded on the credit side fo the Debtors' Ledger Control account.

(iii) Bills receivable issued €600 were entered on the incorect side of the control account though treated correctly in the debtor's ledger account.

(iv) An invoice sent to a customer for €940 has been recorded in the appropriate day books as €94. When posting from this book to the debtors' ledger, €940 was entered in the personal account on the credit side.

(v) The debtor who had been due a refund on 31/12/2024 had been paid half of what was owed to them. This payment was completely omitted from the books.

(vi) Interest amounting to €462, charged to a customer's overdue account, had been entered as €246 in the control account. Following a complaint from the customer this charge was reduced to €350 but this reduction had not been entered in the books.

You are required to

(a) Prepare the adjusted debtors' ledger control account. (30)

(b) Prepare the adjusted schedule of debtors showing the original balance. (22)

(c) (i) Explain what a Contra item is when dealing with control accounts.

(ii) Explain the limitations of control accounts. (8)

(60 marks)

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3. Club Account

Included among the assets and liabilities of Rovers Golf Club on 01/01/2024 were the following:

Clubhouse and course €750,000, machinery €60,000, bar stock €4,250, bar debtors €175, bar creditors €1,500, life membership €45,000, subscriptions due €3,000, investment interest due €600, levy reserve fund €30,000, wages due €1,750.

The club treasurer has supplied the following account of the club's activities during the year ended 31/12/2024.

Receipts and payments account for the year ended 31/12/2024

	€		€
Balance 01/01/2024	9,500	Machinery	40,000
Competition receipts	51,250	Bar purchases	25,400
Income from 4% Investments	2,200	Catering purchases	5,000
Bar receipts	67,500	Competition prizes	24,900
Entrance fees	26,000	General expenses	24,000
Annual sponsorship	15,000	Dishonoured cheque	400
Machinery grant	27,000	Bank loan plus 18 months'	
Subscriptions	160,000	Interest paid at 9% per	
Catering receipts	8,400	annum on 31/10/2024	88,530
		Prize bonds	3,000
		Balance 31/12/2024	155,620
	366,850		366,850

You are given the following additional information and instructions:

(i) Bar stock (including catering stock €850) on 31/12/2024 was €7,700.

(ii) Machinery owned on 31/12/2024 is to be depreciated at the rate of 20% of cost.

(iii) The clubhouse only is to depreciated by 3% of cost. The land on the course was valued at €500,000.

(iv) Bar debtors and bar creditors on the 31/12/2024 are €600 and €2,500 respectively.

(v) Subscriptions include:

(a) Levy of €40 each due from 20 members for 2023.
(b) Levy of €40 on this year's 650 members.
(c) Subscriptions for 2025 amounting to €1,750.
(d) 5 new life members, bringing the total to 20.

(vi) The dishonoured cheque was from a member who was paying the last instalment of his 2024 subscription. He has agreed to pay the amount owed along with next year's subscription in 2025.

(vii) Life membership is to be written off over a 10-year period commencing in 2024.

(viii) Machinery grant was a once off grant and it is to be treated as a capital receipt.

Required:

(a) Show the club's accumulated fund (capital) on 01/01/2024. (24)

(b) Show the income and expenditure for the year ended 31/12/2024. (28)

(c) As treasurer of the club, what recommendations would you bring to the members when presenting these accounts at an AGM? (8)

(60 marks)

4. Cash Flow Statement

The following are the balance sheets of Moore Plc as at 31/12/2023 and 31/12/2024, together with an abridged profit and loss account for the year ended 31/12/2024.

Abridged profit and loss account for the year ended 31/12/2024

	€
Operating Profit	78,600
Investment income for the year	2,750
Interest for the year	-4,600
Profit before taxation	76,750
Taxation for the year	-22,000
Profit after Taxation	54,750
Dividends paid	-19,000
Retained profit	35,750
Retained profit on 01/01/2024	119,750
Retained profit on 31/12/2024	155,500

Balance Sheets as at	**31/12/2024**		**31/12/2023**	
	€	€	€	€
Intangible Assets				
Goodwill		68,000		78,000
Fixed Assets				
Land and buildings at cost	720,000		750,000	
Less accumulated depreciation	-42,000	678,000	-35,000	715,000
Machinery at cost	120,000		90,000	
Less accumulated depreciation	-27,000	93,000	-18,000	72,000
		771,000		787,000
Financial Assets				
Fixed Term Deposit Account		140,000		40,000
		979,000		905,000
Current Assets				
Government securities	50,000		38,000	
Stock	45,000		29,000	
Debtors	20,000		22,000	
Cash	2,000		1,350	
Bank	6,000			
Interest Receivable due on Fixed Term Deposits	500		400	
	123,500		90,750	

Balance Sheets as at	31/12/2024		31/12/2023	
	€	€	€	€
Less Creditors: amounts falling due within 1 year				
Trade creditors	50,000		35,000	
Taxation	18,000		14,250	
Interest due	3,000		3,750	
Bank			5,000	
	71,000	52,500	58,000	32,750
		1,031,500		**937,750**
Financed By:				
Creditors: amounts falling due after more than 1 year				
10% Debentures		55,000		75,000
Capital and Reserves				
Ordinary Shares @1 each	800,000		730,000	
Share Premium	21,000		13,000	
Profit and Loss	155,500	976,500	119,750	862,750
		1,031,500		**937,750**

The following information is also available:

1. There were no disposals of machinery during the year but new machinery was acquired.

2. There were no additions to Land and Buildings during the year but buildings were disposed of for €46,000.

3. Depreciation charged for the year on Buildings in arriving at the operating profit was €16,000.

4. Goodwill is being amoritized by €10,000 per annum, which commenced in 2022.

Required:

(a) Prepare the cash flow statement of Moore Plc for the year ended 31/12/2024, including reconciliation statements. (52)

(b) (i) Outline the reasons why cash flow statements are prepared.

(ii) Financial Reporting Standard 1 (FRS 1) requires companies to prepare a cash flow statement. What is a Financial Reporting Standard? (8)

(60 marks)

SECTION 2 (200 Marks)
Answer any **TWO** questions

5. Interpretation of Accounts

The following figures have been extracted from the final accounts of Murphy Ltd, a business that is involved in the Construction Industry, for the year ended 31/12/2024.

The company has an authorised capital of €1,200,000 made up of 800,000 ordinary shares of €1 each and 400,000 6% preference shares of €1 each. The firm has already issued 750,000 ordinary shares and 180,000 preference shares.

Trading and Profit and Loss Account for year ended 31/12/2024	
	€
Sales	1,089,500
Opening stock	55,000
Closing Stock	78,000
Cost of Sales	(720,000)
Total operating expenses for the year	(190,000)
Interest for the year	(19,500)
Net Profit for the year	160,000
Dividend paid	(36,000)
Retained profit	124,000
Profit and loss balance 01/01/2024	16,000
Profit and loss balance 31/12/2024	140,000

Ratios and information for year ended 31/12/2023	
Interest cover	11 times
Earnings per ordinary share	18c
Dividend per ordinary share	5c
Quick ratio	1.2 :1
Return on capital employed	11.2%
Gearing	42%
Market value of one ordinary share	€1.40
Dividend cover	3.60 times
Dividend yield	3.57%

Balance Sheet as at 31/12/2024		
Fixed Assets:	**€**	**€**
Intangible	185,000	
Tangible	977,000	1,162,000
6% Investments (market value 31/12/2024 €300,000)		240,000
		1,402,000
Current Assets: (including stock €78,000 and debtors €30,000	118,000	
Less Creditors: amounts falling due within 1 year		
Trade creditors	70,000	48,000
		1,450,000
Financed by:		
5% Debentures (2034/2035 secured)		390,000
Capital and Reserves		
Ordinary shares @ €1 each	740,000	
6% Preference shares @ €1 each	180,000	
Profit and loss balance 31/12/2024	140,000	1,060,000
		1,450,000

Market value of one ordinary share is **€1.45** on 31/12/2024.

(a) **You are required to calculate the following for 2024:**

(where appropriate, calculations should be made to **two** decimal places).

(i) Cash purchases if the average period of credit is 1.5 months.

(ii) Earnings per ordinary share.

(iii) Interest cover.

(iv) Rate of stock turnover.

(v) How long it would take one ordinary share to recover its value at present payout rate. (50)

(b) Indicate whether debenture holders would be satisfied with the performance, state of affairs and prospects of the company. Use relevant ratios and other information to support your answer. (40)

(c) Murphy Ltd is considering expansion by purchasing another company in the construction business. The following information for 2024 has been obtained on two similar companies:

	Reynold Construction	**Dwyer Construction**
Return on Capital Employed	14.4%	6.9%
Current Ratio	1.7: 1	1.6:1
Liquid (Acid Test) Ratio	0.70:1	1.2:1

Advise Murphy Ltd which business, if any, should be purchased on the basis of the information provided. (10)

(100 marks)

6. Tabular Statement

The financial position of Ascot Ltd on 01/01/2024 is shown in the following balance sheet:

Balance Sheet as at 01/01/2024			
	€	€	€
Fixed Assets	**Cost**	**Dep**	**NBV**
Land and buildings	295,000	21,500	273,500
Motor vehicles	75,000	28,500	46,500
	370,000	50,000	320,000
Financial Assets			
Investments			60,000
Current Assets			
Stock	36,950		
Debtors (less 5% bad debt provision)	19,000		
Rent prepaid	1,500	57,450	
Less creditors: amounts falling due within 1 year			
Creditors	15,400		
VAT	4,000		
Bank	6,750		
Wages due	1,200	27,350	
Net Current Assets			30,100
Total Assets less Current Liabilities			410,100
Financed By:			
Creditors: amounts falling due after 1 year			
20-year loan			110,000
Capital and Reserves			
Authorised – 470,000 ordinary shares @ €1 each			
Issued – 250,000 ordinary shares @ €1 each		250,000	
Share Premium		17,500	
Profit and loss balance		32,600	300,100
			410,100

The following transactions took place during 2024:

Jan. On Jan 1st Ascot Ltd decided to revalue their land and buildings to €375,000, which includes land now valued at €125,000.

Feb. Paid all outstanding wages on 31st Dec 2023 by credit transfer. It was also decided to amend the bad debts to 6% of debtors.

Mar. Issue 130,000 shares at a premium of 12c per share.

April On the 1st of April Ascot Ltd purchased an adjoining business made up of the following: Buildings €90,000, motor vehicles €25,000, creditors €35,000 and stock €5,000. The purchase price was discharged by granting the seller the remaining shares in Ascot Ltd at a premium of 15c per share.

May Sold goods on credit for €20,340. This included VAT at 13% and a mark-up on cost of 20%.

June Paid by bank transfer rent for the year ending 30/06/2025 €6,000. Also, in June the business received a bank statement showing a credit transfer into Ascot's account in respect of the annual income receivable from investments of €3,000.

July Received a cheque for €900 from a debtor and allowed discount of €50.

Sept. Ascot Ltd decided to make a one-off payment on the 20 year loan by paying off €27,000. To do this they sold €27,000 of the investments for the value at which they were bought.

Oct. Goods previously sold in May for €1,695 (incl VAT) by Ascot Ltd were returned. As a result of a delay in returning these goods, a credit note for only €1,500 was issued.

Nov. A payment of €850 was received from a debtor whose debt had been previously written off. This represents 25% of the original debt, and the debtor had undertaken to pay the remainder in January 2025.

Dec. A vehicle which had cost €24,000 was traded in against a new vehicle costing €45,000. A trade-in allowance of €18,000 was given on the old vehicle. Depreciation charged on the old vehicle up to the date of disposal was €3,600. The annual charge for depreciation on motor vehicles was €15,000. The depreciation charge for the year on buildings is to be 2% of book value. The depreciation charge is to be calculated from the date of valuation or date of disposal as appropriate.

Required:

Record on a tabular statement the effect each of the above transactions had on the relevant asset, liability and capital accounts and ascertain the total assets and liabilities on 31/12/2024.

(100 marks)

7. Incomplete Records

On 01/01/2024, S. Gray lodged €200,000 to a business bank account and on the same day purchased a business for €140,000, consisting of the following tangible assets and liabilities:

Premises €135,000, stock €5,000, debtors €4,950, light and heat due €300, trade creditors €6,800, three months rates prepaid €600, stock of heating oil €430, stock of stationary €240. There is also a VAT liability of €15,700.

During 2024, Gray did not keep a full set of books but estimates that the gross profit was 20% of sales and was able to supply the following additional information on 31/12/2024.

(i) Each week, Gray took from stock goods costing €155 and issued a cheque each week for €140 to pay for household expenses.

(ii) On 01/03/2024, Gray borrowed €150,000, part of which was used to purchase an adjoining premises costing €120,000. It was agreed that interest would be paid on the last day of each month at the rate of 6% per annum.
The capital sum was to be repaid in one lump sum in the year 2029. To provide for this, the bank was instructed to transfer €1,750 on the last day of each month from Gray's bank account into an investment fund.

(iii) During the year, Gray made lodgements into the business bank account as follows: €60,100 from the cash register; €4,000 dividends, €24,000 an inheritance.

(iv) He also made the following payments from the business bank account during the year: light and heat €6,000, interest €1,500, wages and general expenses €44,200, equipment €16,000, rates for twelve months €5,500, college fees for a family member €4,150, diesel for private car €3,300, VAT payment €9,500.

(v) Gray estimated that 25% of light and heat used and of equipment, as well as 15% of interest payable should be attributed to the private section of the premises.

(vi) Gray decided to make a provision for bad debts amounting to 3% of debtors and to charge depreciation at 20% per annum on equipment held on 31/12/2024.

(vii) Included in the assets and liabilities of the firm on 31/12/2024 were: stock €9,000, debtors €18,000, electricity bill due €470, trade creditors €11,000, and €65 interest earned by the investment fund to date. He estimated that the total value of premises at the 31/12/2024 was €230,000.

(viii) Gray also remembered that in December he sold goods on a 'sale or return' basis to a customer for €3,000. This figure represents a mark-up of 20%. This has been recorded by the bookkeeper as a credit sale in the books.

Required:

(a) Prepare, with workings, a statement/balance sheet showing Gray's profit and loss for the year ended 31/12/2024. (45)

(b) Prepare, with workings, a trading, profit and loss account, in as much detail as possible, for the year ended 31/12/2024. (45)

(c) A summary of the advice you would give to Gray in relation to the information given above. (10)

(100 marks)

SECTION 3 (80 Marks)
Answer **ONE** question

8. Marginal Costing

Trevors Ltd manufactures a new type of hurling stick. The company's profit and loss account for the year ended 31/12/2024, during which 25,000 units were bought and sold, was as follows:

	€	€
Sales (25,000 Units)		750,000
-Cost of Sales		
Direct materials	170,000	
Direct labour	245,000	
Factory overheads	62,500	
Selling expenses	50,000	
Adminisration expenses	70,000	597,500
Net Profit		152,500

The materials, direct labour and 80% of the factory overheads are variable costs.
Apart from a commission of 3% on sales, selling and administration expenses are fixed.

Required:

(a) Calculate the company's break-even point and margin of safety in units.

(b) The number of units that must be sold in 2025 if the company is to increase its net profit by 15% over the 2024 figure, assuming the selling price and cost levels and percentages remain unchanged.

(c) The profit/loss the company would make in 2025 if it reduced its selling price to €25, increased fixed costs by 10% and thereby increased the number of units sold by 4,000 units, with all other cost levels and percentages remaining unchanged.

(d) The selling price the company must charge per unit in 2025, if fixed costs increase by 12% but the volume of sales and profit remain the same.

(e) The number of units that must be sold at €32 per unit to provide a profit of 15% of the revenue received from these same units.

(f) **Comment on the following:**
If the company spent €45,000 on modernisation, it is estimated that the improvements in efficiency amount to savings of €3.00 per unit with a sales volume of 28,000 units.
Prepare a marginal costing statement for this option and comment on your findings.

(g) Outline the differences between Marginal Costing and Absorption Costing.

(80 marks)

9. Production Budgeting

O'Rourke Ltd recently completed its annual sales forecast to the end of 2026. It expects to sell two products, Standard at €290 and Premium at €390.

All stocks are to be reduced by 10% from their opening levels by the end of 2026 and are valued using the FIFO method.

	Standard	**Premium**
Expected Sales	2,000 units	1,400 units

Stock of finished goods on 01/01/2026 are expected to be:

Standard	40 units at €210
Premium	60 units at €300

Both products use the same raw materials and skilled labour but in different quantities as follows:

	Standard	**Premium**
Material A	6 kgs	8 kgs
Material B	4 Kgs	8 kgs
Skilled labour	5 hours	6 hours

Stock of raw materials on 01/01/2026 are expected to be:

Material A	2,800 kgs @ 4.00 per kg
Material B	2,000 kgs @ 5.00 per kg

The expected prices for raw materials during 2026 are:

Material A	€5.50 per kg
Material B	€7.00 per kg

The skilled labour rate is expected to be €20 per hour.
Production overhead costs are expected to be:

Variable	€7 per skilled labour hour
Fixed	€275,160 per annum

Required:

(a) Prepare a production budget (in units).

(b) Prepare a raw materials purchases budget (in units and €).

(c) Prepare a production cost/manufacturing budget.

(d) Prepare a budgeted trading account (you are required to calculate the unit cost of budgeted closing stock of both products).

(e) Outline why budgetary control is necessary in an organisation.

(80 marks)

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